



Funeral Assurance Industry Report

for the Quarter ended 31 March 2019

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Unless otherwise stated all figures are reported in RTGS Dollars.

1. Executive Summary

- 1.1 The Gross Premium Written (GPW) by the nine (9) registered funeral assurance industry players marginally increased by 6.87% from \$10.39 million for the period ended 31 March 2018 to \$11.11 million for the period ended 31 March 2019¹. Reinsurance by funeral assurance players remained low as the retention ratio stood at 99.93%.
- 1.2 The increase in GPW was attributed to an increase in new business that was written within the individual life and corporate business space, as people and corporates strive to provide a decent burial for their loved ones and employees respectively.
- 1.3 Profit before tax decreased by 70.63% from \$1.97 million for the three months ended 31 March 2018 to \$0.58 million for the three months ended 31 March 2019. The decrease in profit before tax was as a result of an increase in operating expenses from \$4.46 million to \$5.90 million and claims incurred increase from \$3.14 million to \$4.10 million. Operational and management expenses remained comparatively high in absolute terms to claims incurred on policies. There is need for the industry to better understand the trends that have been observed where expenses are concerned.
- 1.4 Total assets slightly increased by 0.97% from \$76,57 million as at 31 December 2018 to \$77,31 million as at 31 March 2019.
- 1.5 All funeral assurers were non-compliant with the minimum Prescribed Asset (PA) ratio of 10.00% as announced in the 2019 National Budget Statement as only 1.62% of total adjusted assets were invested in PA. Industry investments in PA decreased by 9.80% from \$1.39 million as at 31 December 2018 to \$1.25 million as at 31 March 2019. All industry players are required to submit PA compliance plans.
- 1.6 Five out of nine funeral assurance players reported capital positions below the regulatory minimum capital requirement of \$2.50 million based on their unaudited financials as at 31 March 2019. The Commission has engaged all players to submit capital positions in-line with Statutory Instrument (SI) 95 of 2017.
- 1.7 Total technical liabilities increased by 5.23% from \$19.47 million as at 31 December 2018 to \$20.50 million as at 31 March 2019. Future policyholder benefits constituted of \$20.43 million. Funeral assurers are required to relook at their reserving policies and methodologies by applying sound insurance and actuarial principles.

¹ The total GPW relates to funeral assurance business written by funeral assurers only and does not relate to funeral assurance business written by the life assurance players. The funeral business generated by life assurers is reported in the life assurance report.

1.8 The number of policies written increased by 19.18%, whilst the sum assured increased by 19.63% from 351 thousand policies with a total sum assured of \$188.85 million for the three months ended 31 March 2018 to 417 thousand policies with total sum insured of \$225.93 million for the comparable period in 2019. This is attributed to the new business that was written during the quarter under review.

1.9 Table 1 below indicates the key financial highlights for the funeral assurance industry as at 31 March 2019. Furthermore, Appendix 1, 2 and 3 show performance indicators, income statement and statement of financial position for each funeral assurance player.

Table 1: Key Performance Indicators

Key Financial Indicators	Funeral Assurers		
	Mar-18	Mar-19	Change
Funeral assurers GPW (\$ 000)	10,392.31	11,106.09	6.87%
Total Gross Claims (\$ 000)	3,144.43	4,100.51	30.41%
Operating Expenses (including Administration and Management) (\$ 000)	4,465.80	5,903.61	32.20%
Commissions (\$ 000)	846.06	928.52	9.75%
Total Costs (\$ 000)	8,456.28	10,932.64	29.28%
Profit Before Tax (\$000)	1,977.00	580.65	-70.63%
	Dec-18	Mar-19	Change
Total Assets (\$ 000)	76,569.00	77,311.65	0.97%
Total Liabilities (\$ 000)	39,432.79	40,859.54	3.62%
Capital - Net Assets (\$ 000)	37,136.60	36,452.11	-1.84%
Capital to liability Ratio	94.18%	89.21%	-4.96%
Prescribed Assets (\$ 000)	1,390.00	1,253.75	-9.80%
Prescribed Asset Ratio (%)	1.82%	1.62%	-0.19%
	Mar-18	Mar-19	Change
Total Number of Policies (\$ 000)	350.25	417.42	19.18%
Total Sum Assured (\$ 000)	188,856.76	225,933.60	19.63%

2. Performance in-terms of Business Written

2.1 The funeral assurance industry's total GPW increased marginally by 6.87% from \$10.39 million for the period ended 31 March 2018 to \$11.11 million for the three months ended 31 March 2019.

2.2 Six entities reported positive business growth, two of them recorded growth above 100.00%. However, this growth was significantly small in absolute terms relative to the overall change, whilst the other four players recorded growth ranging from 3.00% - 37.00%. Three entities in the market experienced negative growth rates ranging from -16.09% to -3.53%.

2.3 Funeral assurance players struggled in growing their books as evidenced by the relatively insignificant increase in the GPW during the quarter ended 31 March 2019 when compared with life assurance players, who wrote funeral assurance business worth \$37, 01 million during the same period. This was more than three times the business written by the nine dedicated funeral assurers. The presence of life assurers within the funeral assurance space has affected industry players as one life assurer increased their market share in-terms of GPW for funeral business by 10.94% to 78.82%. The GPW for the referenced entity increased from \$25,05 million for the quarter ended 31 March 2018 to \$29,17 million for the quarter ended 31 March 2019.

2.4 Individual business continues to be the dominant business line for the funeral assurance industry, accounting for 60.00% of GPW, whereas corporate business accounted for 40.00% for the three months ended 31 March 2019. A detailed breakdown of GPW per industry player is shown in Appendix 4. A summary of the GPW per company is shown in Table 2 below.

Table 2: Gross Premium Written per Company (\$ 000)

	Name of Company	Mar-18	Mar-19	Change
1.	Doves	4,705.00	5,400.68	14.79%
2.	First Funeral	1,568.00	1,315.87	-16.08%
3.	Foundation	267.00	258.07	-3.34%
4.	Moonlight	3,086.00	3,185.66	3.23%
5.	Orchid	6.66	13.62	104.61%
6.	Passion	275.00	322.78	17.38%
7.	Ruvimbo	140.00	125.20	-10.57%
8.	Sunset	21.65	43.73	102.00%
9.	Vineyard	323.00	440.47	36.37%
	Total	10,392.31	11,106.09	6.87%

3. Capitalisation

3.1 Five out of nine funeral assurance players reported capital positions below the regulatory minimum capital requirement of \$2.50 million based on their unaudited financials as at 31 March 2019. The Commission has engaged all players to submit capital positions with regards to Statutory Instrument (SI) 95 of 2017.

3.2 It has been observed that industry players continue to report capital levels that include assets, which may not be available to meet liabilities should they be faced with an adverse claims experience.

3.3 The unadjusted capital position for funeral assurance players ranged from \$0.55 million to \$17.08 million as at 31 March 2019, as shown in Table 3 below.

Table 3: Capitalisation Trend Levels

Company	Capital Position (000)					
	Dec-17	Mar-18	Jun-18	Sep-18	Dec-18	Mar-19
Doves	18,046.00	17,126.00	17,704.00	16,636.01	17,665.70	17,084.15
First Funeral	5,174.00	5,353.00	5,948.00	5,911.79	5,832.66	5,829.53
Foundation	924.00	911.00	819.00	830.72	1,445.63	1,388.74
Moonlight	3,714.00	4,735.00	4,005.00	4,109.15	4,504.36	4,559.41
Orchid	707.00	710.00	701.00	693.66	685.47	712.00
Passion	556.00	577.00	582.00	549.30	535.86	557.00
Ruvimbo	1,972.00	2,650.00	2,175.00	2,245.30	2,466.17	2,445.85
Sunset	1,547.00	1,657.00	1,530.00	1,684.24	1,682.64	1,568.37
Vineyard	2,112.00	2,211.00	2,339.00	2,310.11	2,318.11	2,502.04
Total	35,328.00	36,930.00	35,803.00	34,970.28	37,136.60	36,646.58

4. Asset Quality

4.1 Funeral assurers' total assets marginally increased by 0.97% from \$76.57 million as at 31 December 2018 to \$77.31 million as at 31 March 2019.

4.2 The asset movement experienced was due to:

4.2.1 Changes in the macro- economic environment as players moved from charging United States Dollars to Real Time Gross Settlement (RTGS) Dollar and;

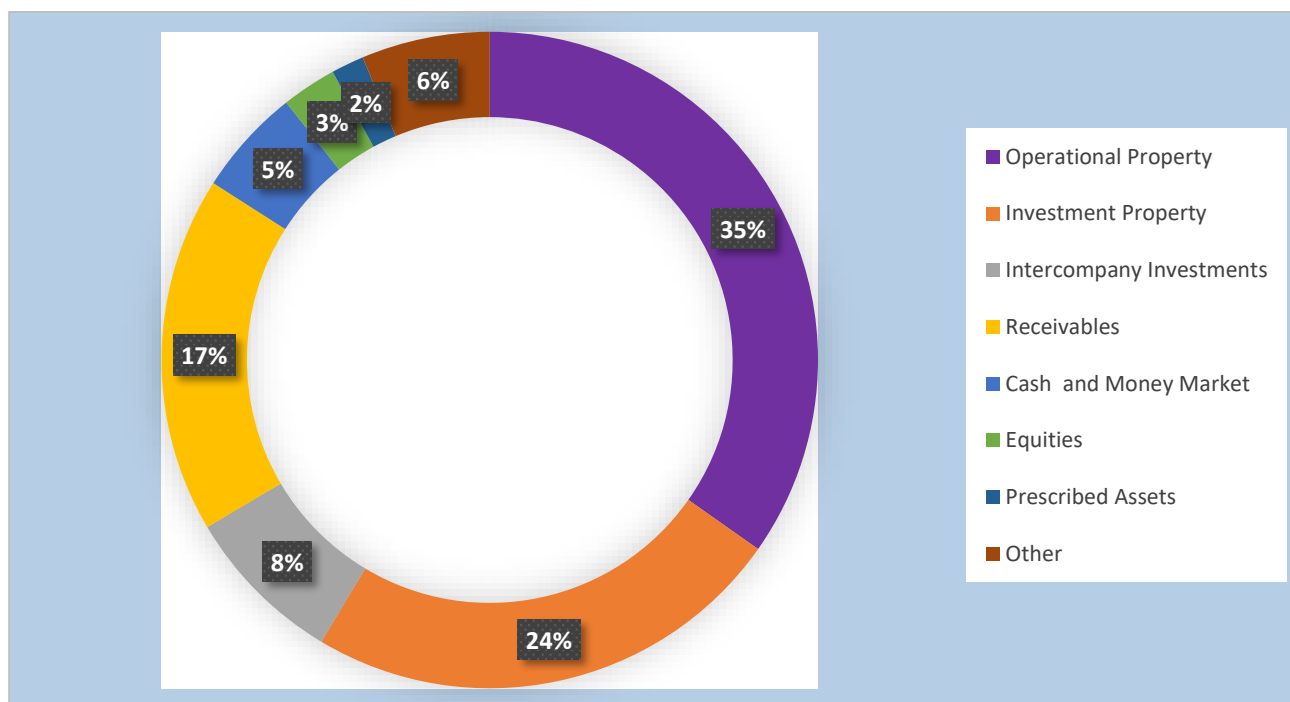
4.2.2 Removal of the 1:1 parity between RTGS and USD by the monetary authorities.

The effect of such changes was noticeable as a 9.00% increase was observed on property investments. There was bear market experience on the Zimbabwe Stock Exchange as equities were down 8.00% from \$2,72 million as at 31 December 2018 to

\$2,10 million as at 31 March 2019. However, the impact of the bear run, did not have a significant impact on the assets held by funeral assurers, as 2.00% was invested on the equities market.

4.3 As previously highlighted in the last quarterly report, funeral assurers are encouraged to revise their asset portfolio so as to match their liabilities, considering that a number of players are writing policies with cash benefit components. Such a mismatch would negatively affect the liquidity position, should there be an upsurge in the claims experience. Furthermore, the asset base for the funeral assurance industry remains concentrated in immovable property, with operational property constituting 35.00% and investment property 24.00% of total assets as shown in Figure 1 below.

Figure 1: Breakdown of Assets



4.4 All funeral assurers were non-compliant with the minimum Prescribed Asset (PA) ratio of 10.00% as announced in the 2019 National Budget Statement as only 1.62 % of total adjusted assets were invested in PA. Industry investments in PA status decreased by 9.80% from \$1.39 million as at 31 December 2018 to \$1.25 million as at 31 March 2019. Table 4 below shows the compliance levels for each funeral player.

4.5 The Statutory Instrument that compels industry to adhere to the new prescribed limits is still to be published.

Table 4: Prescribed Assets for the Funeral Assurance Industry as at 31 March 2019

Company	PA Investments	Total Assets	PA Ratio	Amount Required to be Compliant	Variance in Compliance
Orchid	-	4,059.09	0.00%	405.91	10.00%
Doves	854.91	31,255.21	2.74%	3,125.52	7.26%
First Funeral	10.68	10,915.59	0.10%	1,091.56	9.90%
Foundation	132.56	2,334.69	5.68%	233.47	4.32%
Moonlight	103.57	19,383.19	0.53%	1,938.32	9.47%
Passion	47.48	1,209.48	3.93%	120.95	6.07%
Ruvimbo	13.00	3,352.65	0.39%	335.26	9.61%
Sunset	-	1,789.17	0.00%	178.92	10.00%
Vineyard	91.26	3,012.58	3.03%	301.26	6.97%
Total	1,253.45	77,311.65	1.62%	7,731.17	8.38%

5. Reinsurance

5.1 The funeral assurance industry retained 99.93 % of the business written for the three months ended 31 March 2019, reflecting high retentions in the sector. The Commission continues to urge industry players to enter into reinsurance arrangements as a risk management strategy, given the weak capitalization levels in the industry and other shortcomings that continue to be observed on a quarterly basis by the Commission.

6. Actuarial Matters

6.1 Total technical liabilities increased by 5.23% from \$19.47 million as at 31 December 2018 to \$20.50 million at 31 March 2019. Future policyholder benefits were the major component of technical liabilities as they constituted of \$20.43 million. The Unearned Premium Reserve was \$67 thousand and outstanding claims were \$3 thousand. However, there is a risk that funeral assurance players might be under reserving. This is due to a blanket approach being applied to the reserving figures, despite funeral assurance players offering products with different terms and conditions. Such an approach would not be reflective of future claims experience that is likely to emerge, as no reasonable assumptions are incorporated into the figures being submitted. Failure by industry to address different risks that each product is exposed to, results in inadequate reserving. Therefore, funeral assurers are encouraged to relook at their reserving policies and methodologies.

- 6.2 Industry players are encouraged to expansively consider more actuarial input into their businesses, so as to make use of such analysis to derive insightful information that could be beneficial to the survival of the business in the medium to long-term.
- 6.3 There is need for the sector to adequately reserve for future liabilities and back up such reserves with assets that are consistent with the nature of their liabilities. Furthermore, move from cash underwriting where claims (funeral expenses) are being met from new premiums instead of existing insurance pool.

7 Earnings

- 7.1 Profit Before Tax for the funeral assurance industry decreased by 70.63% from \$1.97 million reported for the quarter ended 31 March 2018 to \$0.58 million for the quarter ended 31 March 2019.
- 7.2 The decrease in profit before tax was partly attributed to increase in claims, operating and administration expenses, which increased exponentially to levels above 30.00% as compared to the GPW for the quarter ended 31 March 2019.
- 7.3 Operating costs and commissions remain relatively high when compared to claims as they accounted for 62.49% of total costs. The high costs will not be sustainable in the long run given that the nature of the business is more long-term and additional pressure from cash back policies being underwritten. Accordingly, the industry will not be able to sustain such high cost structures should they be faced with a change in claims experience.
- 7.4 Claims ratio (net claims: net earned premiums) for the industry was 36.92% for the three months ended 31 March 2019. Industry players are encouraged to study the contributory factors that have continuously resulted in such low claims ratio being experienced for some time. This will allow industry players to better understand the business dynamics and environment in which they are operating in.
- 7.5 As highlighted in the last quarterly report, the Commission is concerned with high commissions, management, operating and administration costs that are being incurred by industry players at the expense of policyholder protection.
- 7.6 A summary of the claims incurred, operating expenses, total costs for each industry player for the three months ended 31 March 2019, is shown in Appendix A5.

8 Liquidity

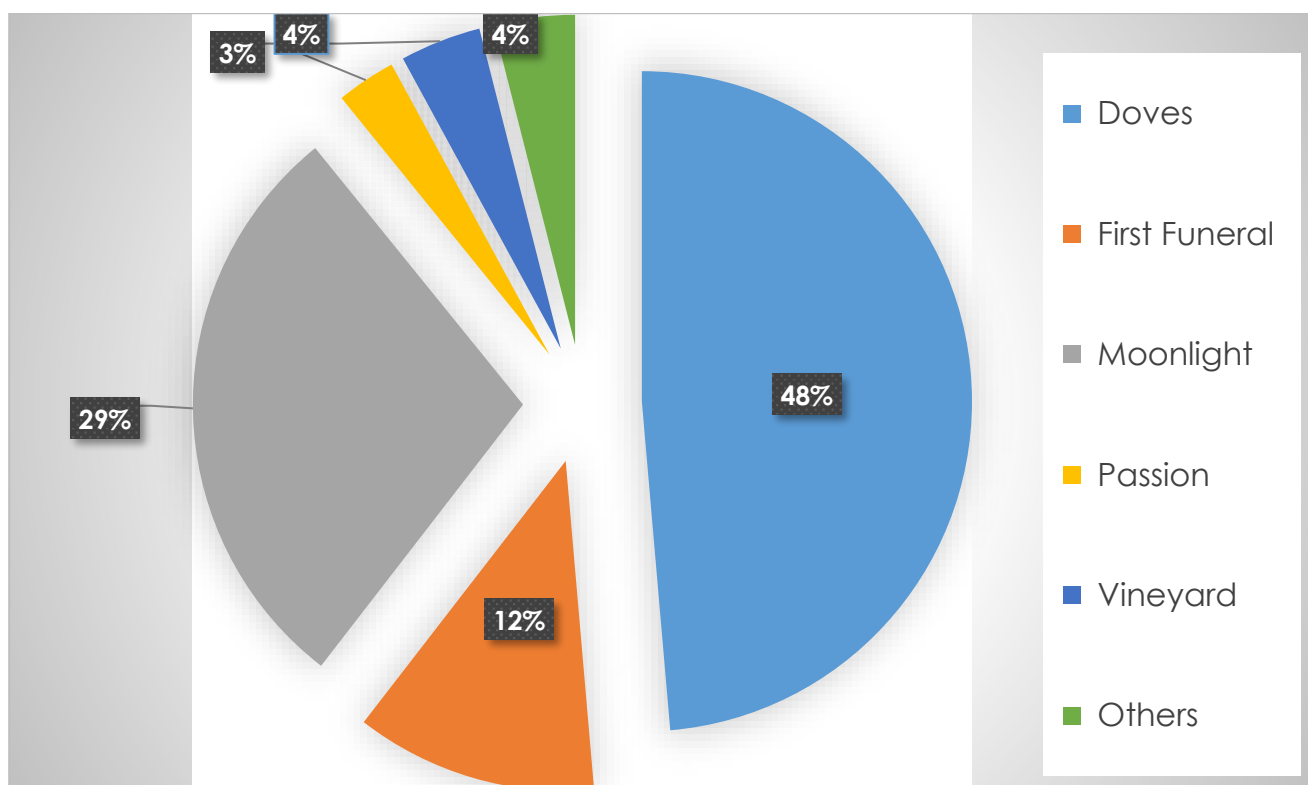
8.1 The industry had a negative working capital position of \$13.27 million as at 31 March 2019, as \$17.04 million worth of current liabilities are being supported by \$3.77 million current assets. There is need for all industry players to address this shortcoming as players would be found wanting, should they fail to meet technical and non-technical liability obligations as and when they fall due. Insurance players are expected to have sufficient liquidity to meet their obligations.

9 Market Share

9.1 Three market players accounted for 90.00% of GPW written as at 31 March 2019. The remaining six players wrote 10.00 % of funeral assurance business. The funeral assurance industry wrote 23.08% of the entire funeral business. Dedicated funeral assurance players are encouraged to be innovative so as to be able to withstand increased pressure in the medium to long time from the life assurance players.

9.2 Distribution of the market share in-terms of GPW for the nine funeral assurance players is shown in Figure 2 below.

Figure 2: Market Share in-terms of GPW



10 The Future

10.1 The funeral assurance industry should be innovative, if it is to withstand increased competition from the life assurance industry. The fact that one life assurer wrote business during the quarter under review, which was two and half times more than that written by all the nine dedicated funeral assurers, is worth noting. Therefore, if dedicated funeral assurers are to remain in business, they should devise mechanisms and strategies to attract and retain clients.



11 Appendix

Appendix A1: Key Performance Indicators for Funeral Assurance Companies										
	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total/ Average
Key Performance Indicator										
Capital Adequacy										
Capital Position i.e. Net Assets (\$ 000)	712	17,084	5,830	1,389	4,365	557	2,446	1,568	2,502	36,452
Capital Coverage Ratio (CCR)	28.47%	683.37%	233.18%	55.55%	174.60%	22.27%	97.83%	62.73%	100.08%	162.01%
Equity/Total Assets Ratio	17.53%	54.66%	53.41%	59.48%	23.29%	46.04%	72.95%	88.46%	83.06%	47.37%
Solvency Margin	22.76%	220.70%	133.85%	185.65%	115.77%	208.15%	N/A	61515.39%	776.23%	179.35%
Asset Quality										
Total Assets (\$ 000)	4,059	31,255	10,916	2,335	19,578	1,209	3,353	1,912	3,013	77,630
Investments to Total Assets	73.90%	72.85%	39.60%	12.10%	0.53%	56.90%	0.00%	0.02%	7.54%	40.44%
Non-Interest Generating Assets/Total Assets	26.03%	25.81%	60.23%	82.23%	99.28%	31.54%	80.96%	99.70%	90.32%	57.68%
Fixed Assets/Total Assets	25.48%	18.82%	10.35%	48.26%	62.28%	0.00%	51.89%	93.57%	70.06%	34.79%
Prescribed Assets Ratio	0.00%	2.74%	0.10%	5.68%	0.53%	3.93%	0.39%	0.00%	3.03%	1.62%
Premium Debtors/Gross Premium	42.95%	1.10%	413.74%	46.48%	221.26%	74.87%	153.23%	252.35%	93.91%	122.74%
Premium Debtors/Total Assets	0.14%	0.19%	49.88%	5.14%	36.00%	20.45%	5.72%	5.77%	13.73%	17.57%
Reinsurance										
Risk Retention Ratio	100.00%	100.00%	100.00%	100.00%	100.00%	97.71%	100.00%	100.00%	100.00%	99.93%
Actuarial										
UPR	67	0	0	0	0	0	0	0	0	67
Gross Outstanding Claims	0	0	0	0	0	0	0	3	0	3
Future Policyholder Benefits	3059.94	7740.936	4355.175	748.001	3938.3	267.518	0	0	322.392	20432.262



Liquid Assets/Total Reserves	96.03%	5.67%	0.42%	10.67%	0.97%	35.28%	N/A	211.09%	41.66%	18.69%
Total Assets/Total Reserves	129.82%	403.76%	250.63%	312.11%	497.11%	452.11%	N/A	69543.13%	934.58%	378.65%
Earnings										
Profit Before Tax (000)	-9.68	115.71	0.74	(17.79)	347.96	(30.24)	(12.30)	1.87	184.38	580.65
Return on Equity	-1.36%	0.68%	0.01%	-1.28%	7.63%	-5.43%	-0.50%	0.11%	7.37%	1.58%
Return on Assets	-0.24%	0.37%	0.01%	-0.76%	1.78%	-2.50%	-0.37%	0.10%	6.12%	0.75%
Loss (Claims) Ratio	89.10%	44.55%	35.36%	19.66%	28.57%	34.03%	20.49%	8.63%	27.13%	36.96%
Net Commission Ratio	0.00%	8.23%	24.83%	6.25%	2.98%	7.79%	0.00%	0.40%	4.76%	8.37%
Net Expense Ratio	47.87%	47.25%	44.98%	83.79%	64.37%	57.70%	82.11%	87.84%	36.11%	53.16%
Combined Ratio	136.98%	100.03%	105.15%	109.69%	95.91%	99.52%	100.73%	96.88%	68.00%	98.44%
Liquidity										
Current ratio	1359.78%	12.44%	2.50%	40.31%	0.36%	12.18%	0.80%	2.66%	71.39%	22%
Acid Test ratio										
Liquid Assets as a Percentage of Total Assets	73.97%	1.40%	0.17%	3.42%	0.19%	3.88%	0.22%	0.30%	4.46%	4.86%
Market Shares										
Market Share Based on GPW	0.12%	48.59%	11.84%	2.32%	28.66%	2.97%	1.13%	0.39%	3.96%	100%
Market Share Based on NPW	0.12%	48.63%	11.85%	2.32%	28.68%	2.91%	1.13%	0.39%	3.97%	100%
Market Share Based on Total Assets	5.23%	40.26%	14.06%	3.01%	25.22%	1.56%	4.32%	2.46%	3.88%	100%
Efficiency										
Trade Payables	2084.14	22.32	0.00	0.00	932.09	0.00	0.00	0.00	0.00	281.07



Appendix A2: Statement of Comprehensive Income for Funeral Assurers for the Period Ending 31 March 2019 (000)										
	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Gross Premium Written	13.62	5,400.68	1,316.02	258.08	3,185.66	330.35	125.20	43.73	440.47	11,113.80
Reinsurance Premiums						7.55				7.55
Net Written Premiums	13.62	5,400.68	1,316.02	258.08	3,185.66	322.80	125.20	43.73	440.47	11,106.25
Increase/(Decrease) in UPR			0.52				11.38			11.90
Net Earned Premiums	13.62	5,400.68	1,315.50	258.08	3,185.66	322.80	113.82	43.73	440.47	11,094.35
Provision for Future Claims		540.06							17.77	557.83
Outstanding Claims	10.22				1.75			2.75		14.72
Paid Claims	1.92	1,866.00	465.13	50.73	908.30	109.85	23.32	1.03	101.71	3,527.97
Net Claims	12.14	2,406.06	465.13	50.73	910.05	109.85	23.32	3.78	119.48	4,100.51
Net Commissions and Fees		444.63	326.63	16.12	94.86	25.14		0.18	20.97	928.52
Technical Result	1.49	2,549.99	523.75	191.23	2,180.75	187.81	90.50	39.78	300.02	6,065.32
Operating/Administration Expenses	3.22	2,019.20	591.93		1,797.71	12.00	102.80	30.78	16.77	4,574.39
Underwriting Profit/(Loss)	(1.74)	530.79	(68.18)	191.23	383.04	175.81	(12.30)	9.01	283.25	1,490.92
Management Expenses	3.30	532.68		216.23	252.83	174.24		7.64	142.29	1,329.21
Investment Income				0.96	0.92	0.19			1.36	3.43
Other Expenses	4.65		98.70	3.36		32.00				138.71
Other Income		117.60	178.00	9.92	250.42			0.50	42.07	598.50
Profit Before Interest and Tax	(9.68)	115.71	11.12	(17.49)	381.55	(30.24)	(12.30)	1.87	184.39	624.93
Taxation				0.30						0.30
Interest Payments			10.38		33.59				0.01	
Profit After Tax and Interest	(9.68)	115.71	0.74	(17.79)	347.96	(30.24)	(12.30)	1.87	184.38	580.65
Transfer to Policyholder Funds				3.00	-					3.00
Retained Income	(9.68)	115.71	0.74	(20.79)	347.96	(30.24)	(12.30)	1.87	184.38	577.65



Appendix A3: Statement of Financial Position for Funeral Assurers as at 31 March 2019 (000)

	Orchid	Doves	First Funeral	Foundation	Moonlight	Passion	Ruvimbo	Sunset	Vineyard	Total
Assets										
Non-Current Assets										
Property and Equipment	1,034	5,883	1,130	1,127	12,193		1,740	1,789	2,111	27,007
Investment Property		13,201	4,279	150	104	640			120	18,493
Investments in Securities		3,391	44	81		43			21	3,579
Intercompany Investments		6,158								6,158
Other Non-Current Assets				105		50	618		16	789
Total Non-Current Assets	1,034	28,633	5,452	1,462	12,297	734	2,358	1,789	2,268	56,027
Technical Assets										-
Total Technical Assets	-	-	-	-	-	-	-	-	-	-
Current Assets										
Cash & Cash Equivalents	3	419	18	28	38	42	7	6	48	610
Money Market Investments	3,000	20		52		5		0	86	3,162
Prescribed Assets						47	13			60
Inventory and Other Assets	17	2,124		673	194	134	783	7	197	4,129
Premium Debtors	6	59	5,445	120	7,048	247	192	110	414	13,642
Total Liquid Assets	3,003	439	18	80	38	47	7	6	134	3,772
Total Assets	4,059	31,255	10,916	2,335	19,578	1,209	3,353	1,912	3,013	77,630
Liabilities										
Deferred Tax Liabilities		828			1,601					2,428
Future Policyholder Benefits	3,060	7,741	4,355	748	3,938	268			322	20,432
Short Term Loans			389		587		42			1,018
Long term Loans		2,900			414					3,313
Current Tax Provisions					344	0				344
Gross Outstanding Claims								3		3
IBNR										-



UPR	67									67
Creditors	78	330			8,135					8,543
Amount Due to Related Companies	143						865			1,008
Other Liabilities		2,373	342	198		385		218	188	3,704
Total Technical Liabilities/Reserves	3,127	7,741	4,355	748	3,938	268	-	3	322	20,502
Current Liabilities	221	3,531	731	198	10,666	385	907	218	188	17,045
Total Liabilities	3,347	14,171	5,086	946	15,018	653	907	221	511	40,860
Shareholders' Equity										
Share Capital	14	1,000	411		1,500	1,049	930	41	211	5,156
Share Premium	1,334		1,610						978	3,922
Revaluation & Other Reserves	268	3,276	502	1,409	3,667	425	1,011	1,801	36	12,396
Retained Profit	(904)	12,808	3,306	(21)	(608)	(917)	505	(150)	1,278	15,297
Shareholder Equity	712	17,084	5,830	1,389	4,559	557	2,446	1,692	2,502	36,770
Total Equity & Liabilities	4,059	31,255	10,916	2,335	19,578	1,209	3,353	1,912	3,013	77,630



Appendix A4: Gross Premium Written Breakdown as at 31 March 2019

Name of Company	Individual Life (000)						Corporate Business (000)						Total Gross Premium (000)		
	New Business			Recurring Premiums			New Business			Recurring Premiums					
	Mar-18	Mar-19	Change (%)	Mar-18	Mar-19	Change (%)	Mar-18	Mar-19	Change (%)	Mar-18	Mar-19	Change (%)	Mar-18	Mar-19	Change (%)
Doves	21	38	79%	638	1,583	148%	119	238	100%	3,927	3,542	-10%	4,705	5,401	14.79%
First Funeral	9	3	-63%	1,559	1,313	-16%	-	-	0%	-	-	0%	1,568	1,316	-16.08%
Foundation	4	4	7%	263	254	-4%	-	-	0%	-	-	0%	267	258	-3.34%
Moonlight	80	92	15%	3,006	3,094	3%	-	-	0%	-	-	0%	3,086	3,186	3.23%
Orchid	-	-	0%	2	5	174%	5	-	0%	-	9	100%	7	14	104.61%
Passion	7	5	-23%	43	64	49%	19	1	-95%	206	260	26%	275	323	17.38%
Ruvimbo	23	31	36%	104	94	-10%	13	-	0%	-	-	0%	140	125	-10.57%
Sunset	0	1	13%	21	43	104%	-	-	0%	-	-	0%	22	44	102.00%
Vineyard	80	16	-80%	75	39	-48%	87	80	-8%	81	305	277%	323	440	36.37%
Total	224.49	190.25	-15%	5,710.99	6,488.22	14%	242.83	319.85	32%	4,214.00	4,115.31	-2%	10,392.31	11,106.09	6.87%



Appendix A5: Cost and Earnings Analysis for the Funeral Assurance Industry as at 31 March 2019

Company Name	NPW (000)			Claims (000)			Commissions(000)			Management Expenses (000)			Total Costs(000)			Combined Ratio		
	Mar-18	Mar-19	Change	Mar-18	Mar-19	Change	Mar-18	Mar-19	Change	Mar-18	Mar-19	Change	Mar-18	Mar-19	Change	Mar-18	Mar-19	Change
Doves	4,705.47	5,400.68	15%	1,715.36	2,406.06	40%	417.07	444.63	7%	1,431.44	2,551.88	78%	3,563.86	5,402.57	52%	76%	100%	24%
First Funeral	1,568.34	1,315.87	-16%	456.22	465.13	2%	270.22	326.63	21%	544.94	591.93	9%	1,271.37	1,383.68	9%	81%	105%	24%
Foundation	267.52	258.07	-4%	41.99	50.73	21%	20.98	16.12	-23%	208.64	216.23	4%	271.61	283.07	4%	102%	110%	8%
Moonlight	3,086.39	3,185.66	3%	757.15	910.05	20%	98.96	94.86	-4%	1,802.63	2,050.54	14%	2,658.74	3,055.45	15%	86%	96%	10%
Orchid	6.66	13.62	105%	5.90	12.14	106%	-	-	-	5.85	6.52	12%	11.75	18.66	59%	176%	137%	-40%
Passion	275.01	322.78	17%	67.62	109.85	62%	23.59	25.14	7%	171.07	186.24	9%	262.27	321.23	22%	95%	100%	4%
Ruvimbo	139.75	125.20	-10%	17.05	23.32	37%	-	-	0%	118.01	102.80	-13%	135.05	126.12	-7%	97%	101%	4%
Sunset	21.65	43.73	102%	8.04	3.78	-53%	0.97	0.18	-82%	22.10	38.42	74%	31.10	42.37	36%	144%	97%	-47%
Vineyard	322.69	440.47	36%	75.11	119.48	59%	14.28	20.97	47%	161.14	159.06	-1%	250.53	299.51	20%	78%	68%	-10%
Total	10,393.50	11,106.09	7%	3,144.43	4,100.51	30%	846.06	928.52	10%	4,465.80	5,903.61	32%	8,456.28	10,932.64	29%	81%	98%	17%